

Sri Lanka will secure at least one additional yuan-denominated infrastructure financing agreement from China within the next 12 months.

65%

PROBABILITY

TARGET: SEPTEMBER 2027

CONFIDENCE: MEDIUM

WHAT'S NEW

- **Central Expressway: Cabinet approves \$500M yuan-denominated loan; construction officially resumes (Sep 17, 2026).** President Dissanayake secured cabinet approval for Sri Lanka's first-ever yuan bilateral loan – \$500M equivalent in RMB from China EXIM Bank at 2.5-3.5% interest. Sri Lanka must self-fund \$438M from state coffers and settle \$200M in outstanding MCC claims. Construction of the Kadawatha-Meerigama section (36% complete since 2020) resumed on Sep 17, now at 42% complete, target completion 2028. Five domestic construction firms urged competitive tenders but Colombo persisted with Chinese contractor MCC.
- **IMF Seventh Review mission (Sep 10-23) ends without staff-level agreement.** IMF Mission Chief Evan Papageorgiou's team visited for nearly two weeks but discussions continue toward a staff-level agreement. The IMF warned that selected clauses in the government's anti-corruption amendments could weaken transparency and accountability. Inflation has returned to 8% (from May's 5.5%). Gross official reserves reached \$6.9B (up from \$6.5B in June). The IMF reaffirmed commitment to supporting Sri Lanka.
- **Sri Lanka will exit the current IMF EFF program in March 2027.** Minister Bimal Rathnayake confirmed the government intends to complete the four-year program when it expires on March 19, 2027. Two reviews remain (7th and 8th). IMF Mission Chief noted any request for a successor program would be Sri Lanka's decision.
- **New Chinese Ambassador Wei Huaxiang settles in; PRC 77th anniversary reception (Sep 24).** Ambassador Wei presented credentials on Aug 25, met Speaker of Parliament on Sep 10, and delivered his first major speech on Sep 24 at the PRC 77th anniversary reception. He highlighted the Rubber-Rice Pact (75th anniversary in 2027), the 70th anniversary of diplomatic ties in 2027, and announced China's AI-based weather warning system Mazu will be deployed in Sri Lanka. Cultural continuity and policy stability signals.
- **Sri Lanka participates in 11th BRI Summit in Hong Kong (Sep 9-10).** Trade Minister Wasantha Samarasinghe represented Sri Lanka at the 6,000-attendee summit, pitched Sri Lanka as a regional maritime and trade hub to BRI investors. Signals continued high-level engagement with the BRI framework under the Dissanayake administration, with trade and investment diversification as the emphasis.

- **Sri Lanka climbs investor relations rankings; SSGA names it among top 5 EM performers (Q2 2026).** IIF ranked Sri Lanka 4th-fastest improver globally in investor relations (score 43.67/50). SSGA reported Sri Lanka achieved 12.3% total return in USD, contributing 13 bps to EMBI GD index returns – a rare institutional investor perspective confirming market confidence in the post-restructuring recovery.
- **Bilateral debt to China edges up to \$5.01B (June 2026), but debt-to-GDP falls.** The Q2 2026 Statistical Debt Bulletin showed China's outstanding bilateral debt at \$5.01B (up from \$4.974B in Dec 2025). Total government debt fell to 88.8% of GDP from 95% in Dec 2025 – a \$5.4B absolute reduction. Total government external debt reached \$38.01B.
- **China grants RMB 79M for Cyclone Ditwah bridge reconstruction (Aug 26).** Grant-based assistance (not a loan) to reconstruct 14 bridges. Marks a potential new pattern of grant-based engagement from China in the post-restructuring period.

ANALYSIS